

THE TWO PROJECTS AT A GLANCE

OPTIONS ALPHA (V9.8)	SWING ALPHA (V1.1)
Bull call/put spreads	Long stock shares
\$250 risk per trade	\$50 risk per trade (1%)
2 contracts standard	Variable shares (ATR-sized)
8 trades/month target	8 trades/month target
5 simultaneous max	5 simultaneous max
Hold: 21-45 DTE	Hold: 5-15 days (winners)
Win rate target: 78-82%	Win rate target: 45-55%
Break-even WR: ~71%	Break-even WR: ~33%

- Both projects share:
- The same IBKR MCP server (v2.3) on your computer
 - The same NDX universe approach
 - 7 overlapping watchlist names (NVDA, META, MSFT, AMZN, GOOGL, AVGO, AMD) – be aware of correlation risk
 - 5-position cap per account (enforced via get_open_positions)

FILE LOCATIONS (Windows: C:\Users\ajayk\Documents\Claude\)

ibkr-options-mcp\
├─ server.py v2.3 (THE MCP SERVER)
├─ watchlist.json Options watchlist (10 names)
└─ swing_watchlist.json Swing watchlist (10 names)

Claude project system prompts (pasted into Claude Desktop):
├─ Options Alpha project → system_prompt_v9.8.txt
└─ Swing Alpha project → swing_alpha_v1.1.txt

ONE-TIME DEPLOYMENT (do this once, after audit fixes)

1. Quit Claude Desktop fully
2. Replace server.py at the path above with v2.3
3. Confirm watchlist.json and swing_watchlist.json are present
(no changes needed to either, but they must exist)
4. Open Claude Desktop
5. For Options Alpha project:
Open project → Settings → System Prompt
Replace contents with system_prompt_v9.8.txt
Save
6. For Swing Alpha project:
Open project → Settings → System Prompt
Replace contents with swing_alpha_v1.1.txt
Save
7. In each project, verify with: "How many tools do you have?"
Each should say 18 tools available.

DAILY ROUTINE (when actively trading)

BEFORE MARKET OPEN (5-10 minutes):

- In Options Alpha: "Run options daily session start"
- In Swing Alpha: "Run swing daily session start"

Each gives you:

- Today's date and market status
- Current watchlist tagged TRADEABLE / CAUTION / BLOCKED
- Market regime (● / ● / ● / ●)
- 1-3 specific names worth deeper analysis

MID-DAY (only if a setup triggers):

- "Analyze [TICKER] in detail"
- Claude runs full Phase 0A → Phase 4 ticket
- You execute manually in TWS

AFTER MARKET CLOSE (4:15-4:45 PM ET – 15-30 min):

- "Review my open positions"
- For each open trade, Claude checks management rules:
 - Move stop to breakeven if +1R hit
 - Scale out if +2R hit
 - Trail with 2× ATR if past +2R

- Time stop if no +1R after 5/10 days
- Emergency exit if regime flipped

KEY: Always run management after close, not during the day.
Intraday emotion is the #1 cause of bad management decisions.

WEEKLY ROUTINE (Sunday or Monday pre-market)

In Options Alpha: "Run the weekly watchlist scan"

In Swing Alpha: "Run the weekly swing scan"

Each scan:

- Takes 3-5 minutes
- Pulls live data for all ~100 NDX-100 stocks
- Scores against the relevant criteria (4 for options, 6 for swing – see criteria sections below)
- Reports health of current watchlist
- Recommends specific names to demote/promote

You approve each change individually. Claude never modifies the watchlists without your explicit "yes" per change.

COMMON COMMANDS – OPTIONS ALPHA PROJECT

Daily setup:

"Run options daily session start"

"What's tradeable today?"

Analysis:

"Analyze NVDA for a debit spread"

"Run full audit on META credit spread"

"What strikes should I use for AVGO 30-DTE bull call?"

Position checks:

"How many spreads are currently open?" (uses get_open_positions)

"Review my open positions"

Watchlist:

"Show me the options watchlist"

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136     "Add MU to the watchlist - reason: AI memory leader"
137     "Remove PLTR - reason: failed 3 of 4 criteria"
138
139     Position sizing:
140         "Calculate spread sizing: $1.20 net debit, 2 contracts"
141
142
143
144 COMMON COMMANDS – SWING ALPHA PROJECT
145
146
147     Daily setup:
148         "Run swing daily session start"
149         "Any tradeable pullbacks today?"
150
151     Analysis:
152         "Analyze NVDA for a pullback entry"
153         "Show me the full swing setup for META"
154         "Run audit on AVGO breakout"
155
156     Position checks:
157         "How many swing positions open?"    (uses get_open_positions)
158         "What's my current R-multiple on the META trade?"
159
160     Watchlist:
161         "Show me the swing watchlist"
162         "Add CRWD to the swing watchlist - reason: clean uptrend"
163         "Remove COST - reason: low volatility, no setups firing"
164
165     Position sizing:
166         "Calculate position size: entry $185.50, stop $179.20"
167         → Returns: 7 shares, $1,298 capital, $44.10 risk
168
169
170
171 OPTIONS ALPHA – 9-POINT AUDIT (V9.8)
172
173
174     Every options trade must pass ALL 9 before execution:
175
176     1. TREND      Price above 21-day EMA on daily?
177     2. VIX REGIME Strategy type matches VIX level?
178     3. EARNINGS   Multi-source verified earnings clear?
179     4. LIQUIDITY  Bid-ask spread < 5% of premium?
180     5. OI         Both legs have ≥500 open interest?
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|-------------|---|
| 6. DELTA | Long leg delta 0.40-0.55? |
| 7. RISK CAP | Max risk $\leq$ \$125/contract = \$250 for 2? |
| 8. ROI | Max profit / max risk $\geq$ 40%? |
| 9. DTE | Debit: 30-45 DTE Credit: 10-15 DTE? |

PLUS Phase 3B: Open position count check (must be <5)

SWING ALPHA – 9-POINT AUDIT (V1.1)

Every swing trade must pass ALL 9 before execution:

- | | |
|----------------|--|
| 1. EARNINGS | No earnings in next 10 trading days? |
| 2. WATCHLIST | Is ticker on swing watchlist? |
| 3. REGIME | QQQ ● STRONG or ● WEAK? |
| 4. TREND | Stock above 50-EMA AND 50 above 200? |
| 5. RS | RS_20 AND RS_50 both $\geq$ 0? |
| 6. SETUP | All pullback rules (7) or breakout rules (6) met? |
| 7. STOP SANITY | Risk per share $0.5 \times -3 \times \text{ATR}(14)$? |
| 8. SIZE | Capital required < \$2,500 (50% of account)? |
| 9. OPEN COUNT | Currently <5 swing positions open? |

Note: Check 1 (earnings) is FIRST so you don't waste analysis time on names that will fail anyway.

SETUP DEFINITIONS – SWING ALPHA

PULLBACK (primary, 70% of trades) – needs ALL 7:

1. Earnings runway clear (>10 trading days out)
2. Confirmed uptrend (above 50-SMA, 50 > 200)
3. Pullback structure: 3-8% deep, 3-15 days long, retrace to 21-EMA / 50-EMA / proven support
4. Volume LOWER on pullback than prior advance
5. Confirmation candle (hammer/engulfing/strong bull/inside)
6. Entry: BUY STOP at \$0.05 above confirmation candle high
7. Stop: MIN of swing low or $1.5 \times \text{ATR}$ (whichever closer)

BREAKOUT (secondary, 30% of trades) – needs ALL 6:

1. Earnings runway clear (>10 trading days out)
2. Consolidation base $\geq$ 4 weeks, <8% range

226 3. Clear horizontal resistance with 2+ rejections
227 4. Volume $\geq$ 150% of 20-day avg on breakout day
228 5. Daily CLOSE above resistance (not just intraday)
229 6. Next resistance $\geq$ 5% above breakout
230
231 ENTRY for breakouts: BUY STOP at \$0.10 above breakout day high
232 STOP for breakouts: \$0.10 below broken resistance
233
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236 EXIT MANAGEMENT – BOTH PROJECTS
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239 OPTIONS ALPHA:
240 At +1R (50% of max risk): Move stop to original debit
241 At +35% max profit: Scale 1 contract (of 2)
242 Day 5 no +1R: Time stop exit
243 21 DTE (debit) / 10 DTE (credit): Mandatory exit
244 Regime flips to : Close ALL immediately
245
246 SWING ALPHA:
247 At +1R: Move stop to breakeven
248 At +2R: Sell 50%, raise stop to +1R
249 After +2R: Trail rest with 2×ATR
250 Day 10 no +1R: Time stop exit at market
251 Regime flips →→: Close ALL immediately
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255 WEEKLY SCAN CRITERIA – OPTIONS ALPHA (4 criteria, pass 3)
256
257
258 C1. TREND Price above 50-SMA AND 50-SMA above 200-SMA
259 C2. RS 50-day stock return > 50-day QQQ return
260 C3. MOMENTUM Positive 20-day return
261 C4. LIQUIDITY Average daily volume $\geq$ 1M shares
262
263 Default threshold: moderate (3 of 4)
264 Hard rule: must always pass C1 (the trend filter)
265
266
267

268 WEEKLY SCAN CRITERIA – SWING ALPHA (6 criteria, pass 4)
269
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C1. TREND Above 50-SMA AND 50 above 200-SMA
C2. RS 50-day return > QQQ 50-day return
C3. MOMENTUM Positive 20-day return
C4. LIQUIDITY Average daily volume ≥ 2M shares (higher bar)
C5. VOLATILITY ATR/price between 1.5% and 5% (tradeable)
C6. NO GAPS No single-day move >8% in last 20 days

Default threshold: moderate (4 of 6)
Use strict (5 of 6) only if you want fewer, higher-quality
candidates.

THE 18 TOOLS – WHICH PROJECT USES WHICH

OPTIONS ALPHA primarily uses:

get_options_chain, get_spread_analysis, get_stock_quote,
get_watchlist_scan, get_iv_rank,
get_watchlist, update_watchlist, scan_full_universe,
get_open_positions

SWING ALPHA primarily uses:

get_swing_watchlist, update_swing_watchlist,
scan_swing_universe, get_swing_setup, get_position_size,
scan_pullback_setups, get_stock_quote,
get_open_positions

Shared across both: get_open_positions, get_stock_quote

Not used in either (intraday momentum tools, neither project
is set up for intraday trades):

momentum_scan, get_momentum_bars, trade_update

CORRELATION RISK – IMPORTANT

Both watchlists share 7 names: NVDA, META, MSFT, AMZN,
GOOGL, AVGO, AMD.

This means a tech selloff hits both accounts simultaneously.

Worst-case scenario for a single ticker (say NVDA):

Options book max loss: \$250

Swing book max loss: \$50

Combined: \$300 = 3% of total \$10K household capital

When entering a position in one project, ALWAYS check:

"Do I already hold this ticker in the other account?"

Claude will ask this in both projects via Phase 3B (options) and Check 9 (swing). Honor the warning – consider sizing down or skipping when both accounts would hold the same name.

WHAT TO DO BEFORE GOING LIVE

1. Deploy V9.8 + V1.1 + server v2.3 (steps above)
2. In TWS, switch to PAPER TRADING port (7497)
Both projects can run identically against paper account.
3. Run 3-5 paper trades in each project:
 - Verify the daily routine works end-to-end
 - Verify the audit catches bad setups
 - Verify position sizing is correct
 - Verify the management rules trigger correctly
 - Practice IBKR order entry mechanics
4. Review paper trade log after each completion:
 - Did Claude correctly identify the setup?
 - Did the math match between Claude's calculation and your actual fill?
 - Did the management routine trigger at the right times?
5. Only after 3+ successful paper trades per strategy:
Switch to live port (7496), start with 1 contract / half-size shares for first 3-5 live trades.
6. Full size only after 10 documented live trades with positive expectancy.

RISK OF RUIN – KNOW WHEN TO STOP

OPTIONS ALPHA:

Yellow alert: 3 consecutive losses → reduce to 5 trades/2wk
Red alert (Scenario A): 5 CONSECUTIVE losses → STOP, review
Red alert (Scenario B): 5 simultaneous positions all lose
in regime crash → 2-week pause,
resume at 2 simultaneous positions

SWING ALPHA:

Yellow alert: 4 consecutive losses → pause 1 week, review
Red alert: 6 consecutive losses → STOP, resume at 0.5% risk

These rules are non-negotiable. If you hit them, follow them.

TROUBLESHOOTING

"ibkr-options MCP not connected"

- TWS must be running and logged in
- Check API settings: TWS → Edit → Global Configuration → API → Settings → "Enable ActiveX and Socket Clients"
- Verify port matches server.py (7497 paper / 7496 live)

"Tool count shows 17 not 18"

- server.py is still v2.2 – replace with v2.3
- Quit Claude Desktop fully and reopen

"scan times out"

- Normal for first run after market open (data caching)
- Run during market hours for fastest response
- If still timing out, restart TWS

"get_open_positions returns nothing but I have positions"

- Confirm TWS is connected to right account
- Paper vs Live accounts have separate positions
- Verify port number matches the account

"Audit fails on a setup that looks good"

- Trust the audit. It exists to save you from yourself.
- Document the rejection in your notes for monthly review
- If a SPECIFIC rule keeps blocking GOOD trades after 20+ examples, that's data for tightening or loosening it.
- Don't override on a hunch.

MONTHLY REVIEW (do this on the 1st of each month)

In each project:

"Show me the trade log for last 30 days"

"What's my win rate?"

"What's my average R-multiple?"

"Which filter rejected the most setups?"

Look for:

- Win rate trending up or down vs target
- Same exit reason repeating (e.g., always time-stopping)
- Pattern in losers (e.g., all losers in  regime)
- Confirmation pattern hit rate (V1.1 swing log captures this)

After 30 trades total across both projects:

Reassess the protocols. Tighten or loosen specific rules based on data, not feelings.

Backup your watchlist files monthly:

Just copy watchlist.json and swing_watchlist.json to a safe folder. The history array preserves your decision audit trail.

GOLDEN RULES – DO NOT VIOLATE

1. NEVER trade without running the full audit
2. NEVER exceed 5 positions per account
3. NEVER override the regime filter ( /  = no new entries)
4. NEVER hold credit spreads inside 10 DTE
5. NEVER hold debit spreads inside 21 DTE
6. NEVER hold swings past day 10 with no +1R
7. NEVER trade through earnings without explicit override
8. NEVER skip the trade log (you need the data)
9. NEVER size up on a "feeling about this one"
10. NEVER override the cap because "this trade is different"

The system works because the rules are non-negotiable.

The moment you start bending them, you're discretionary trading – and discretionary traders mostly lose money.

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END OF USER GUIDE

Last updated: May 2026 for V9.8 + V1.1 + server v2.3
